

SKU CONTRIBUTION-MARGIN MODEL — PUNCH LIST

The per-SKU economics database the plan references but never shows. Build deferred — this list defines it. Every launch SKU gets the full stack below, at both one-time and subscription pricing.

Prepared by Horsepower AI · July 2026 · Companion to the Working Brief v2 — horsepower-hub.vercel.app/gfto-store/

Revenue

- product cost - packaging - fulfillment - postage subsidy
- processing fees - discounts - affiliate commissions - expected returns & replacements
= **CONTRIBUTION MARGIN** (per SKU, \$ and %)

A — COLLECT THE NINE INPUTS, PER LAUNCH SKU

- ☐ **1. Revenue** — retail and subscription price confirmed. *Done when: price sheet signed.*
- ☐ **2. Product cost** — landed: manufacturing + inbound freight. *Done when: number in writing, with source.*
- ☐ **3. Packaging** — box, label, insert, per unit. *Done when: number in writing.*
- ☐ **4. Fulfillment** — pick/pack per order, quoted (3PL or in-house true cost). *Done when: quote in hand.*
- ☐ **5. Postage subsidy** — actual postage minus what the customer pays; free-shipping threshold decided. *Done when: threshold set, average subsidy computed.*
- ☐ **6. Processing fees** — per SKU, including any high-risk uplift (kava / cannabinoid). *Done when: rate confirmed by the processor.*
- ☐ **7. Discounts** — blended rate: welcome offers, promos, subscription-discount share. *Done when: assumption documented.*
- ☐ **8. Affiliate commissions** — rate × expected affiliate share of orders; renewals-commission policy decided. *Done when: assumption documented.*
- ☐ **9. Expected returns & replacements** — allowance as % of revenue; reship policy costed. *Done when: assumption documented.*

B — COMPUTATIONS THE BUILD PERFORMS

- ☐ **10. Contribution margin** — \$ and %, per SKU, at one-time AND subscription pricing. *Done when: all launch-SKU columns computed.*
- ☐ **11. LTV contribution** — per-order margin × average orders (the 5-order assumption, flagged for validation). *Done when: computed per SKU.*
- ☐ **12. CAC ceiling per SKU** — one-time buyer ≤ first-order margin; subscriber ≤ 50% of LTV margin. *Done when: one number per SKU.*

C — DECISIONS THE NUMBERS FORCE

- **13. Margin floor set** — a SKU below it does not launch. *Done when: floor written; applied to all launch SKUs.*
- **14. Bundle check** — every bundle clears the floor after its discount. *Done when: bundle margins computed.*
- **15. Below-floor rule** — reprice, re-package, or bench. Never launch on hope. *Done when: rule adopted in writing.*
- **16. Retention validation** — the 5-order assumption tracked against dashboard actuals from month one. *Done when: dashboard line live.*

D — THE BUILD (DEFERRED — SCOPED ONLY)

- **17. Database table per SKU** — assumptions replaced by Shopify actuals over time (real postage, real discount rates, real return rates). The model stops being a guess by month two.
- **18. Dashboard integration** — margin line per sector on the Monday summary; alert when any SKU's actual margin drifts below the floor.

Architecture note: this model and the Compliance Launch Matrix belong in the same database behind the KPI dashboard — one system of record where compliance status, real margins, and sales all live, all AI-operable. One build project, not two.